COURSE TITLE

Data Visualization with Power BI

PROJECT TITLE

Retail Customer Retention Analytics –TARGET

Submitted by:

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Video link:

Retail Customer Retention Analytics –TARGET

Problem statement:

Target Corporation faces challenges in retaining customers due to increasing competition. The company collects customer transaction and loyalty data, but lacks proper analysis to identify churn, loyal customers, and customer behavior. To solve this problem, a Customer Retention Analytics Dashboard is developed using Microsoft Power BI to analyze churn, loyalty, promotions, and customer lifetime value for better business decision-making.

Traget corporation need to clarity these four thinks:

- Why customers are churning.
- Identify loyal vs. at-risk customers.
- Measure the impact of loyalty tiers, promotions, and influencer-driven campaigns.
- Guide region- and channel-specific retention strategies**.**

Objective:

As a Power BI Analyst, my objective is to develop an interactive Customer Retention Analytics Dashboard using Microsoft Power BI for Target Corporation. The dashboard combines customer, transaction, loyalty, and store data to analyze customer behavior, identify high-value and churned customers, and provide insights to improve customer retention, loyalty engagement, and overall business performance.

Dataset Description:

1. Customer_Demographics.csv:

   Columns: Customer_ID, Age, Gender, Region, Income_Level, Membership_Since, Preferred_Channel (Store/Online)

2 .Customer_Transactions.csv:

Columns: Transaction_ID, Customer_ID, Store_ID, Product_Category (Groceries, Electronics, Apparel, Home & Living), Transaction_Date, Amount, Promotion_Applied (Yes/No)

3.Store_Locations.csv

Columns: Store_ID, Store_Type (Supercenter, Neighborhood Market, Sam's Club, Online), Region, Opening_Year

4.Loyalty_Program.csv Columns:

Customer_ID, Loyalty_Tier (Basic, Plus, Premium, Elite), Points_Earned, Points_Redeemed

5.Churn_Labelled_Customers.csv

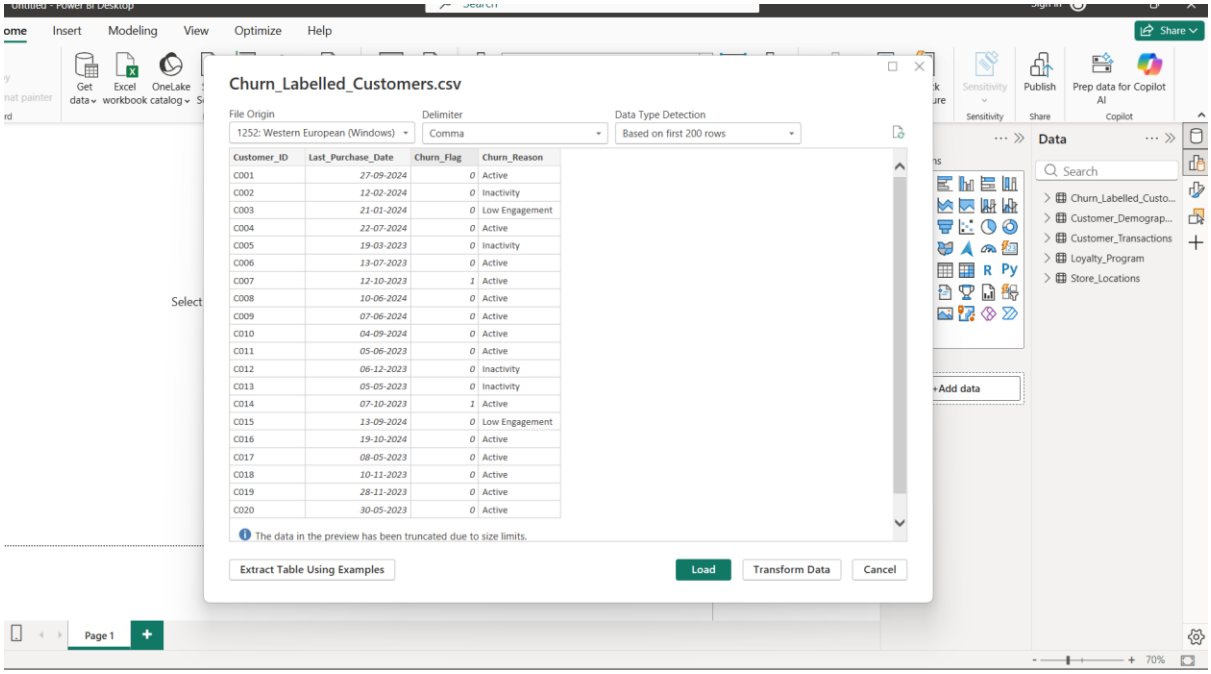
Columns: Customer_ID, Last_Purchase_Date, Churn_Flag (0 = Active, 1 = Churned), Churn_Reason (Inactivity, Competitor, Low Engagement)

TASK TO BE PERFORMED:

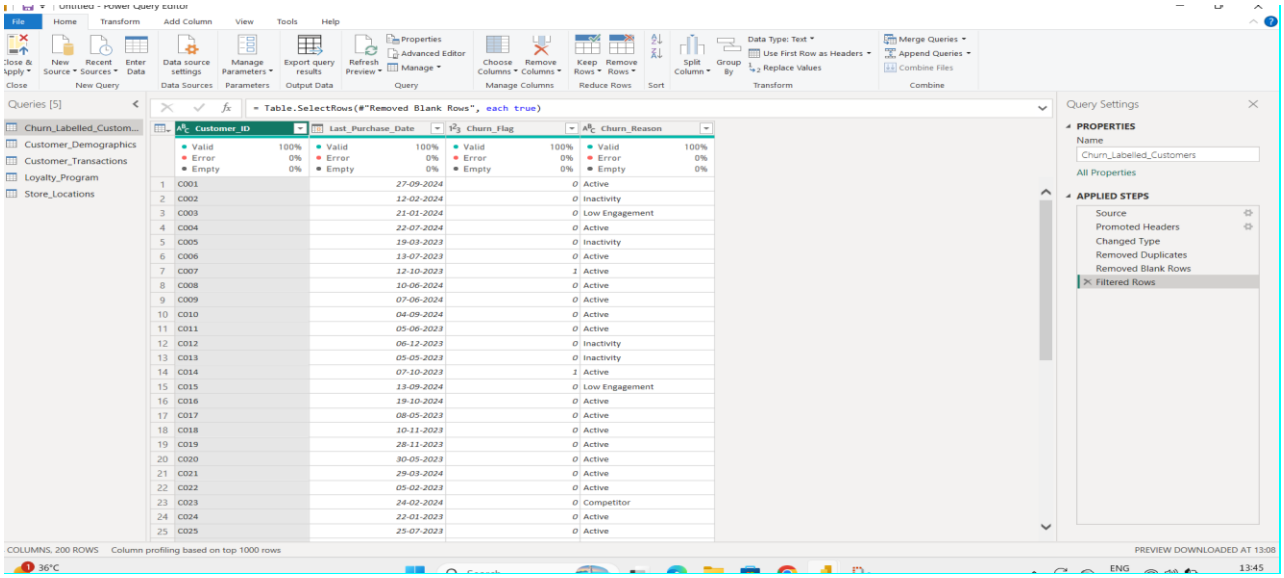
TASK 1: Data Modeling & Cleaning

Task 1.1: Load and transform datasets in Power Query

Datasets were loaded and transformed using Power Query Editor in Microsoft Power BI to clean, organize, and prepare the data for customer retention analysis.



Task 1.2: Handle duplicates, missing values, and ensure correct data types



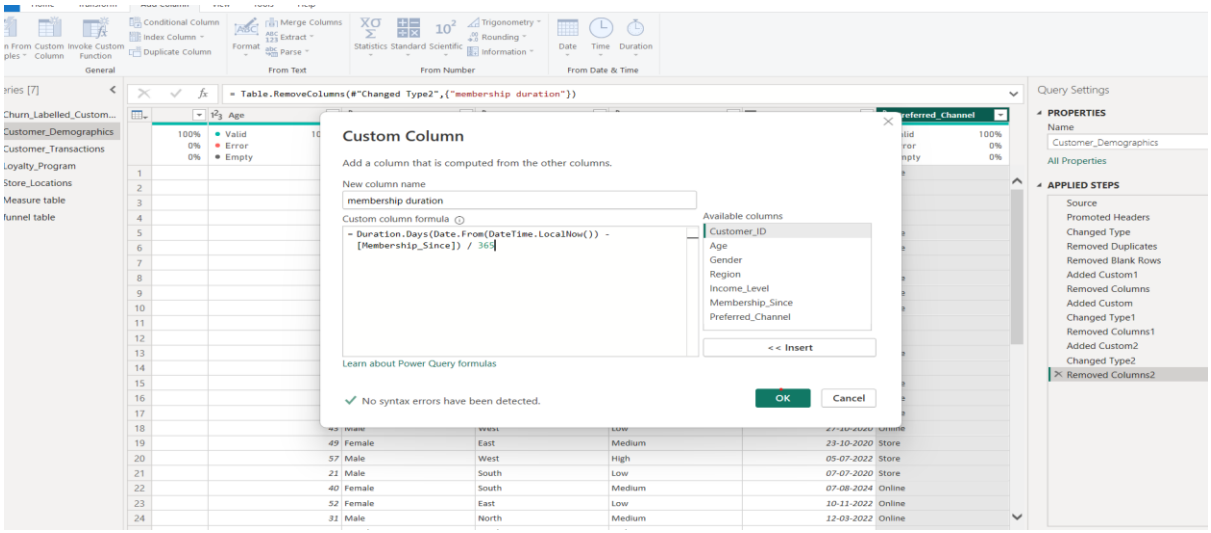
Step 1: Home tab-> **Remove rows** to remove duplicates and blank row.

Step 2: Column left corner click to change the data format.

Task 1.3: Create calculated columns

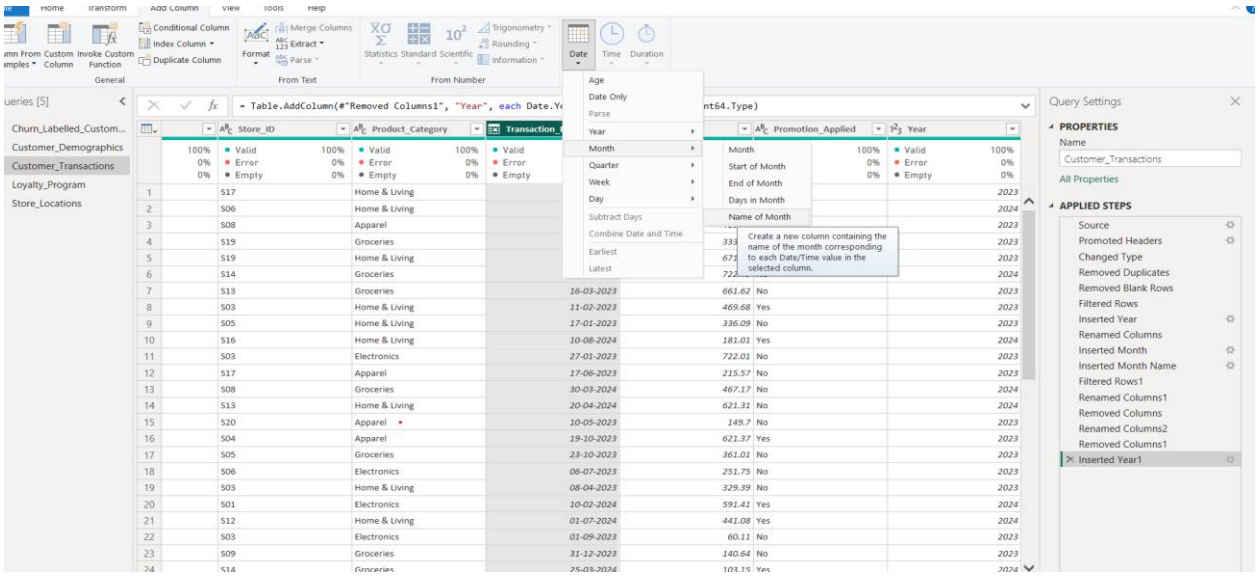
A)Membership_Duration= Today – Membership_Since

Step 1:Select **Customer_Demographics** and go to **Add Column** click the custom column to enter formula.



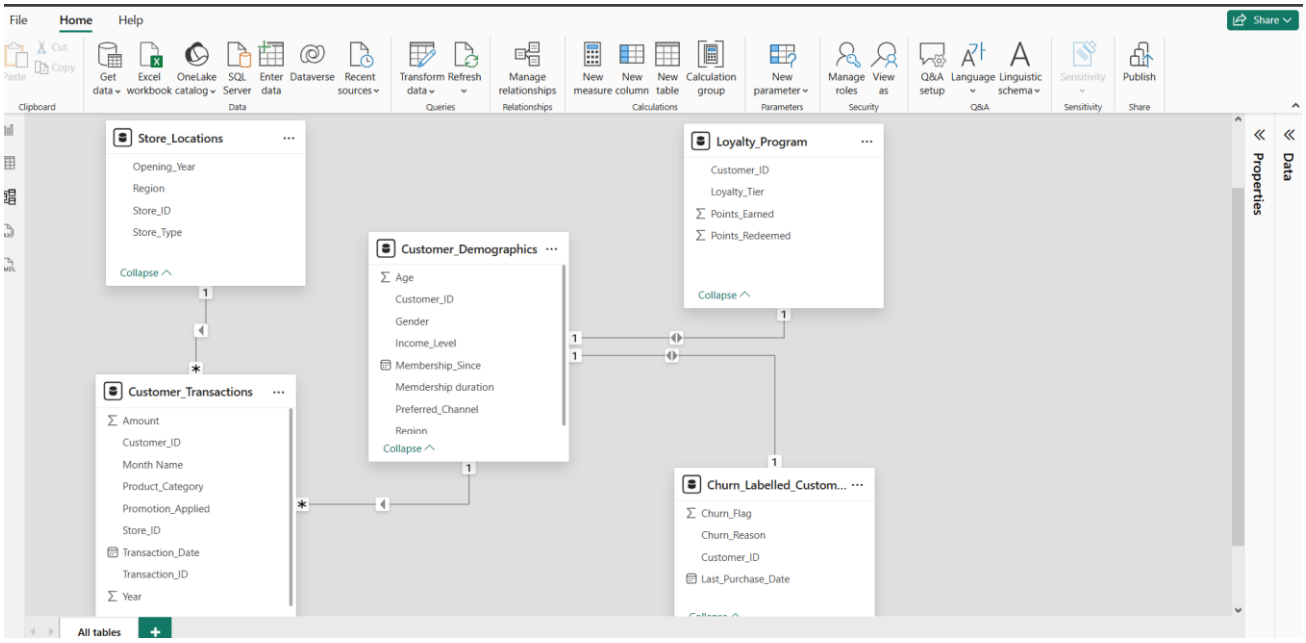
B) Extract Transaction_Year, Transaction_Month

Step1:Go to: Customer_Transactions table and Select Transaction_Date column and Add Column → Date → Year → Year



Task 1.4: Create a basic Data Model view

Go to the power bi and left side icon to create the relationship with common column



TASK 2: Churn & Retention Metrics

TASK 2.1: Create Churn Rate KPI

Using Dax to create the churn rate%

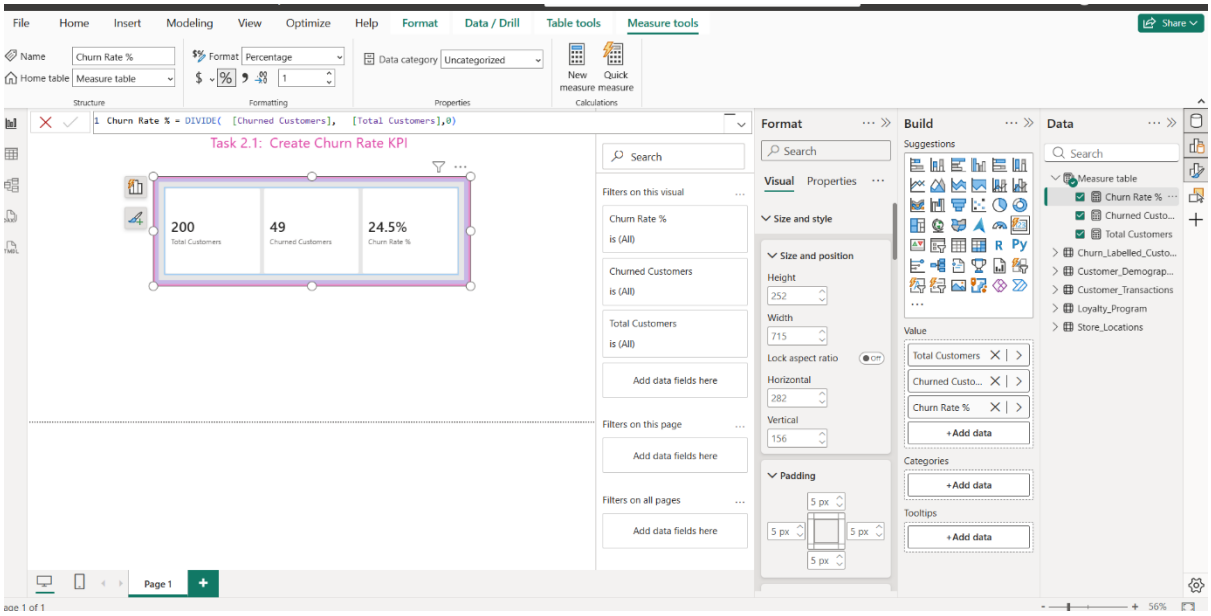
Step1: go to modelling tab to select the new measure to enter the Dax formula

FORMULA:

Total Customers = DISTINCTCOUNT(Customer_Demographics[Customer_ID])

ChurnedCustomers=CALCULATE(DISTINCTCOUNT(Churn_Labelled_Customers[Customer_ID]),Churn_Labelled_Customers[Churn_Flag]=1)

Churn Rate % = DIVIDE([Churned Customers], [Total Customers],0)



Task 2.2: Visualize churn rate by

A)Churn rate% by Region

Visual: Clustered Bar Chart

Field: region->axis , churn rate%->values

B) Churn rate% by Income Group

Visual: Dount Chart

Field: Income group->legend, churn rate%->values

C) Churn rate% by Channel (Store/Online)

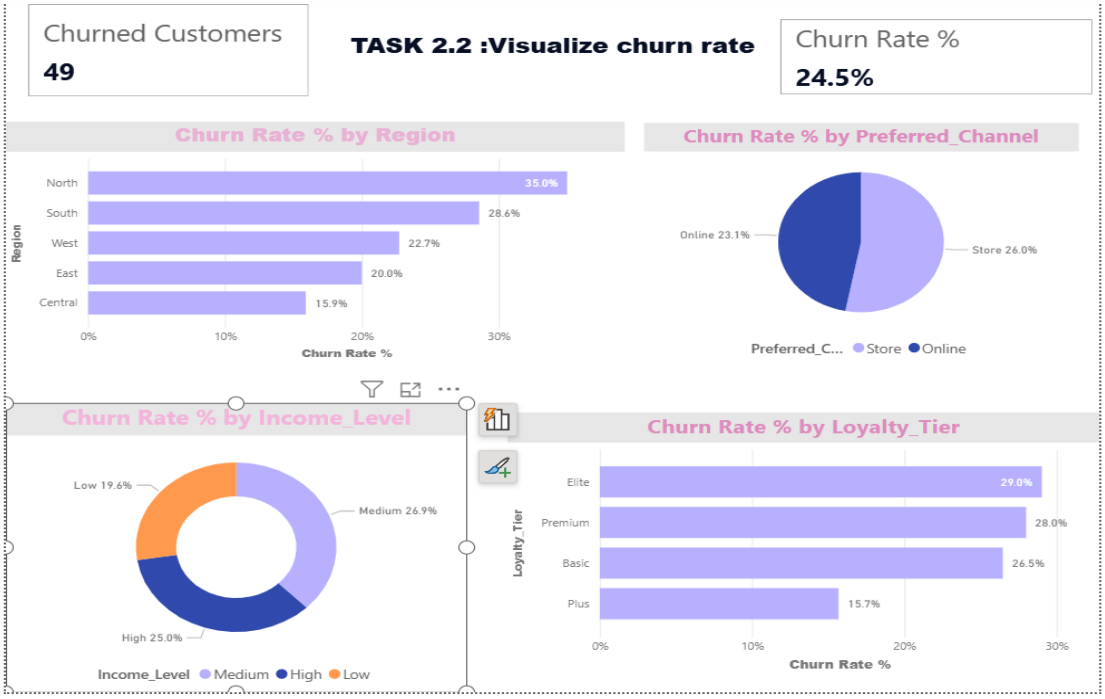
Visual: Pie Chart

Field:Channel ->legend, churn rate%->values

D) Churn rate% by Loyalty Tier

Visual: Clustered Bar Chart

Field: Loyalty Tier ->axis , churn rate%->values



Key insight:

The analysis shows that the overall churn rate is 24.5%, with the North region and Elite loyalty tier having the highest churn. Store customers and medium income customers also show higher churn compared to other groups.

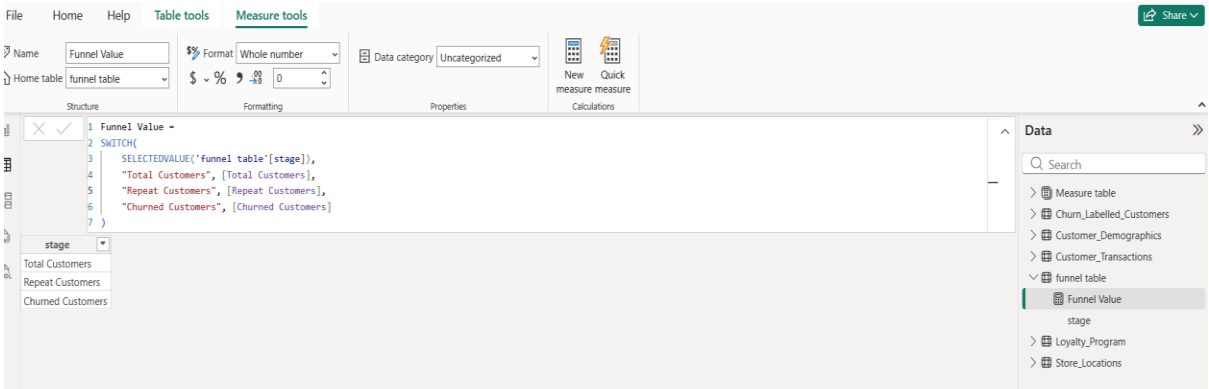
Task 2.3: Funnel Chart: Total Customers → Repeat Customers → Churned

Step 1: Create Repeat Customers Measure

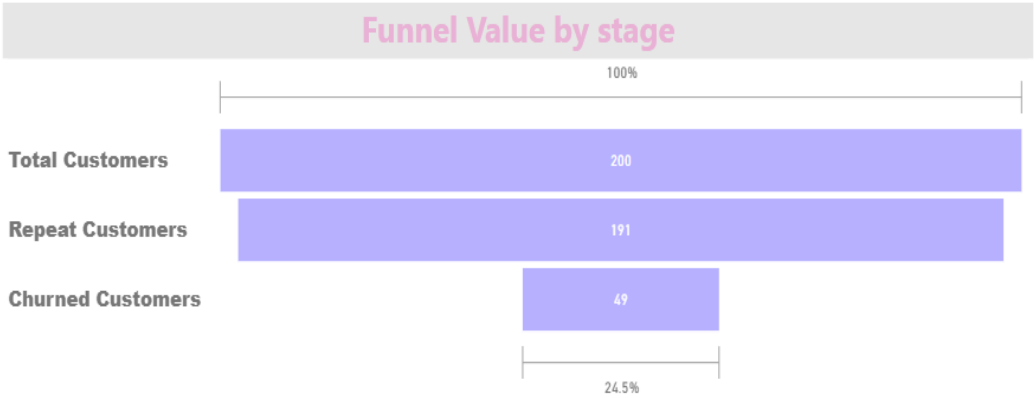
Formula: Repeat Rate % = DIVIDE([Total Customers] - [Churned Customers], [Total Customers], 0) * 100

Step2: Create supporting table go to enter data create funnel stage

Formula:FunnelValue=SWITCH(SELECTEDVALUE('funnel table'[stage]), "Total Customers", [Total Customers], "Repeat Customers", [Repeat Customers], "Churned Customers", [Churned Customers])



Task 2.3:Funnel Chart: Total Customers → Repeat Customers → Churned



TASK 3: Repeat Purchase Analysis:

Task 3.1: Segment customers:

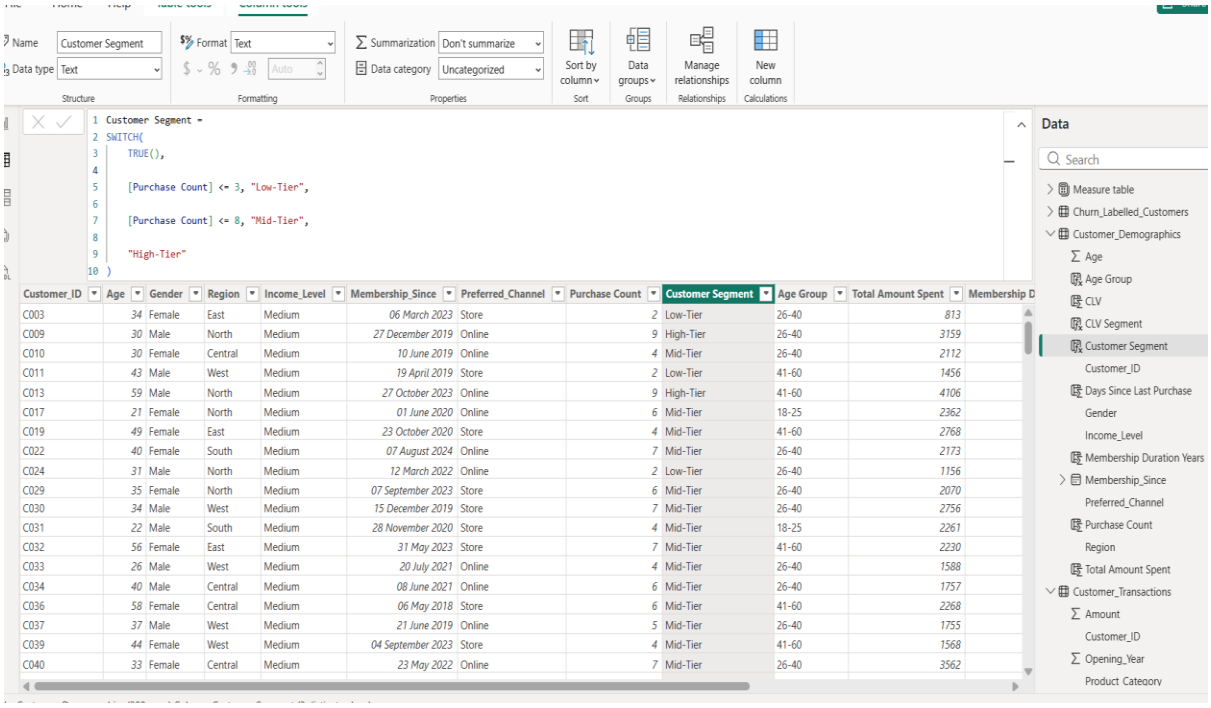
○ Low-Tier: 0–3 purchases ○ Mid-Tier: 4–8 purchases ○ High-Tier: 9+ purchases

Step 1: Create new column to purchase count

Formula:PurchaseCount=CALCULATE(COUNT(Customer_Transactions[Transaction_ID]))

Step 2: Create customer segment to new column

Formula: Customer Segment = SWITCH(TRUE(),[Purchase Count] <= 3, "Low-Tier", [Purchase Count] <= 8, "Mid-Tier", "High-Tier")

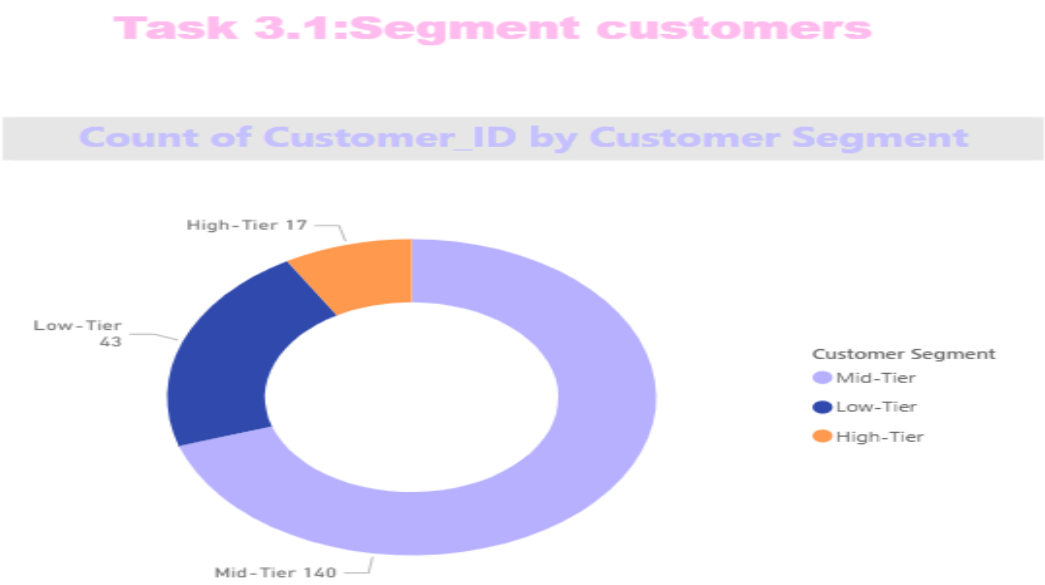


Customer_ID	Age	Gender	Region	Income_Level	Membership_Since	Preferred_Channel	Purchase Count	Customer Segment	Age Group	Total Amount Spent	Membership D
C003	34	Female	East	Medium	06 March 2023	Store	2	Low-Tier	26-40	813	
C009	30	Male	North	Medium	27 December 2019	Online	9	High-Tier	26-40	3159	
C010	30	Female	Central	Medium	10 June 2019	Online	4	Mid-Tier	26-40	2112	
C011	43	Male	West	Medium	19 April 2019	Store	2	Low-Tier	41-60	1456	
C013	59	Male	North	Medium	27 October 2023	Online	9	High-Tier	41-60	4106	
C017	21	Female	North	Medium	01 June 2020	Online	6	Mid-Tier	18-25	2362	
C019	49	Female	East	Medium	23 October 2020	Store	4	Mid-Tier	41-60	2768	
C022	40	Female	South	Medium	07 August 2024	Online	7	Mid-Tier	26-40	2173	
C024	31	Male	North	Medium	12 March 2022	Online	2	Low-Tier	26-40	1156	
C029	35	Female	North	Medium	07 September 2023	Store	6	Mid-Tier	26-40	2070	
C030	34	Male	West	Medium	15 December 2019	Store	7	Mid-Tier	26-40	2756	
C031	22	Male	South	Medium	28 November 2020	Store	4	Mid-Tier	18-25	2261	
C032	56	Female	East	Medium	31 May 2023	Store	7	Mid-Tier	41-60	2230	
C033	26	Male	West	Medium	20 July 2021	Online	4	Mid-Tier	26-40	1588	
C034	40	Male	Central	Medium	08 June 2021	Online	6	Mid-Tier	26-40	1757	
C036	58	Female	Central	Medium	06 May 2018	Store	6	Mid-Tier	41-60	2268	
C037	37	Male	West	Medium	21 June 2019	Online	5	Mid-Tier	26-40	1755	
C039	44	Female	West	Medium	04 September 2023	Store	4	Mid-Tier	41-60	1568	
C040	33	Female	Central	Medium	23 May 2022	Online	7	Mid-Tier	26-40	3562	

Visualize Customer ID by Customer segment:

Visual: Pie Chart

Field: Customer segment ->legend , churn rate%->values



Mid-tier have more customer 140

Task 3.2: Compare avg. purchase frequency by Region, Age Group, Loyalty Tier

Visualize avg. purchase frequency by Region

Visual: Clustered bar Chart

Field: Region->axis , avg. purchase frequency-> values

Visualize avg. purchase frequency by Age Group

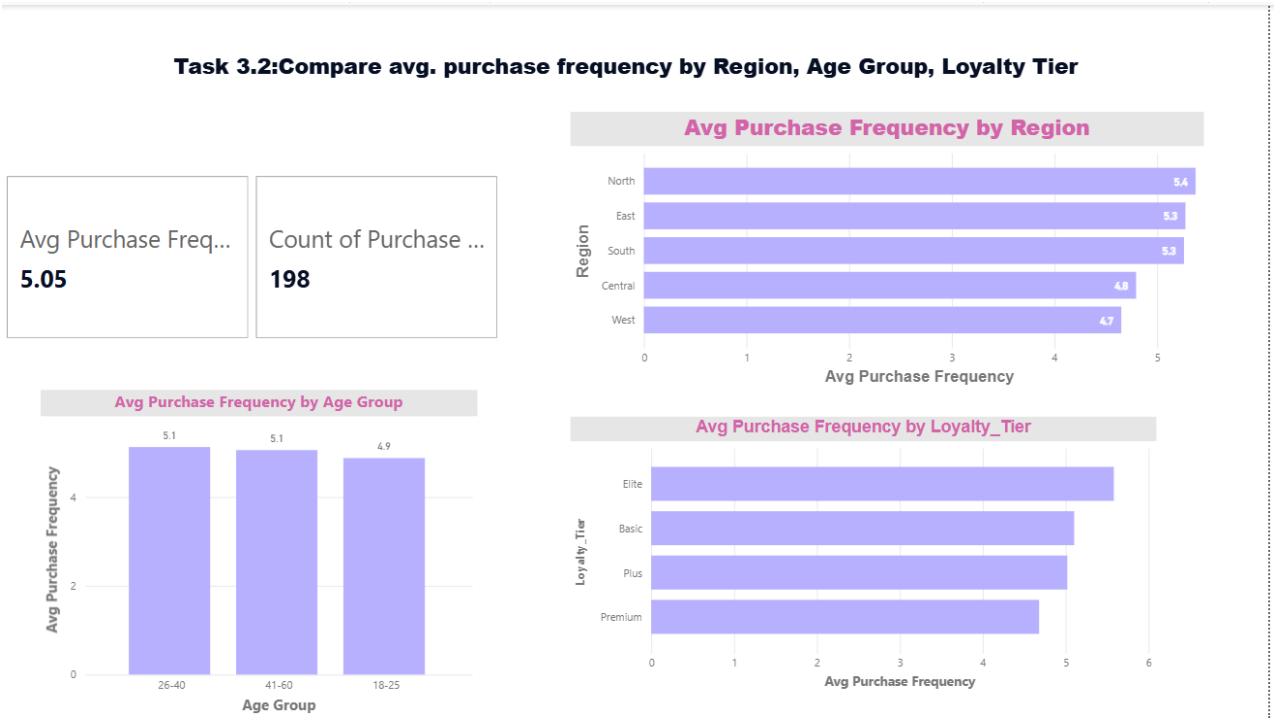
Visual: Clustered column Chart

Field: AgeGroup,->axis, avg. purchase frequency-> values

Visualize avg. purchase frequency by Loyalty Tier

Visual: Clustered bar Chart

Field: Loyalty Tier ->axis , avg. purchase frequency-> values



Key Insight:

The analysis shows that Elite customers have the highest purchase frequency, while Premium and Plus tiers show lower engagement than Basic customers. The North region performs best in repeat purchases, whereas the West and Central regions have lower customer engagement. Purchase frequency remains almost similar across different age groups.

Task3.3: Identify most purchased product categories by loyal customers

Visualize transaction_ID by Product_Category

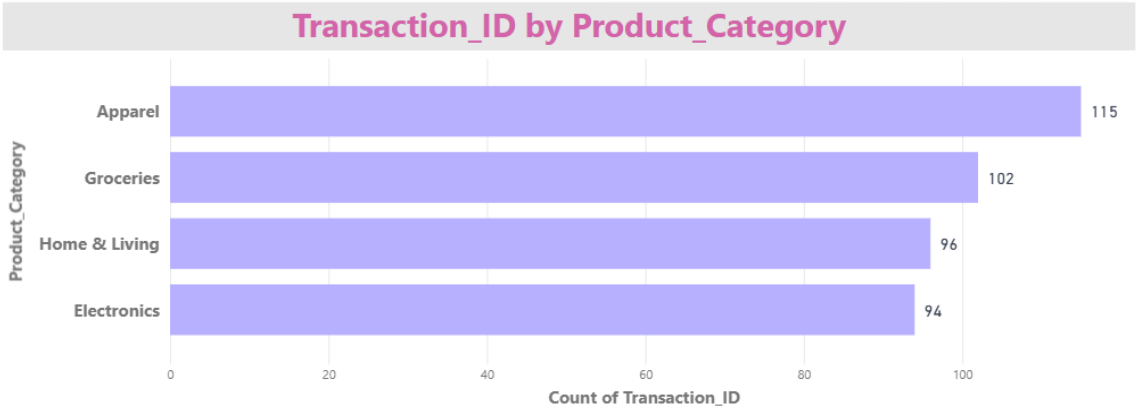
Visual: Clustered bar Chart

Field: Product_Category ->axis , transaction id-> values

key insights :

Loyal customers mostly purchased Apparel and Grocery products, indicating strong repeat buying behavior in these product categories.

Task 3.3:Identify most purchased product categories by loyal customers



Task4: Promotion & Loyalty Impact

Task4.1: Calculate % of transactions with promotion applied.

Step1: create total transaction measure

Formula:

TotalTransactions=COUNT(Customer_Transactions[Transaction_ID)

Step 2:create promotional transaction measure with applied "yes" in promotional applied

Formula:

PromotionalTransactions=CALCULATE(COUNT(Customer_Transactions[Transaction_ID]),Customer_Transactions[Promotion_Applied] = "Yes")

Step3: create promotion percentage measure

Formula:

Promotion % = DIVIDE([Promotional Transactions],[Total Transactions], 0) * 100

Task 4.1:Calculate % of transactions with promotion applied

Task 4.2: Compare average purchase amount with vs. without promotions.

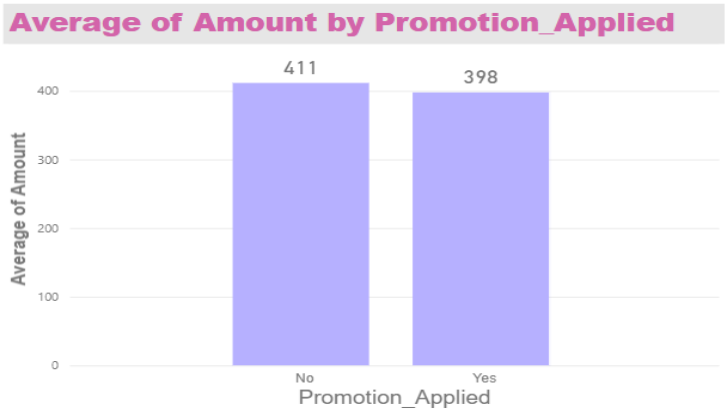
Visualize average purchase amount with vs. without promotions.

Visual: Clustered Column Chart

Field: Promotion applied->axis ,

average purchase amount -> values

Task 4.2 :Compare average purchase amount with vs. without promotions



Key insight:

Customers without promotions show a higher average purchase amount (411) than customers with promotions (398). This indicates that current promotions are not strongly influencing spending, so Target should focus on more personalized and targeted promotional strategies.

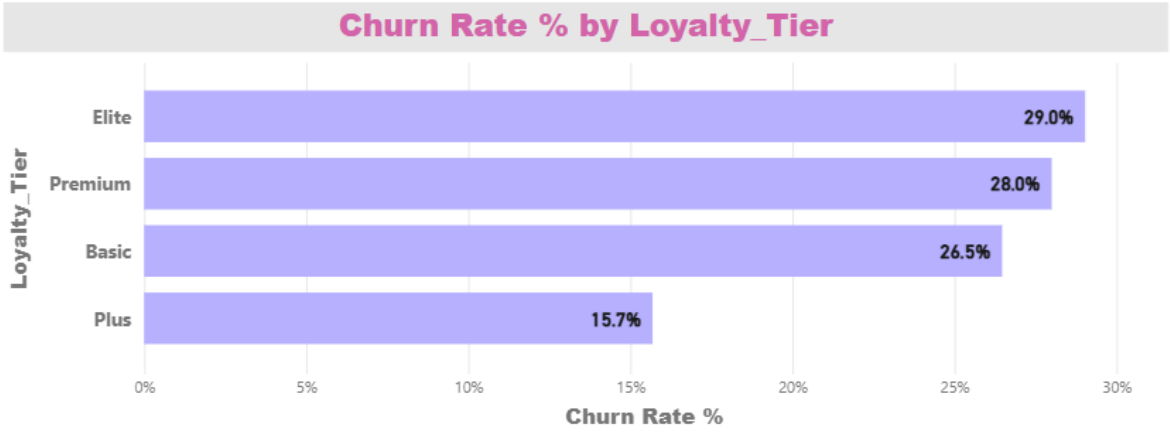
Task 4.3: Analyze churn rate across loyalty tiers.

Visualize churn rate %by loyalty tiers

Visual: Clustered bar Chart

Field: Loyalty Tier ->axis , churn rate%->values

Task 4.3:Analyze churn rate across loyalty tiers.

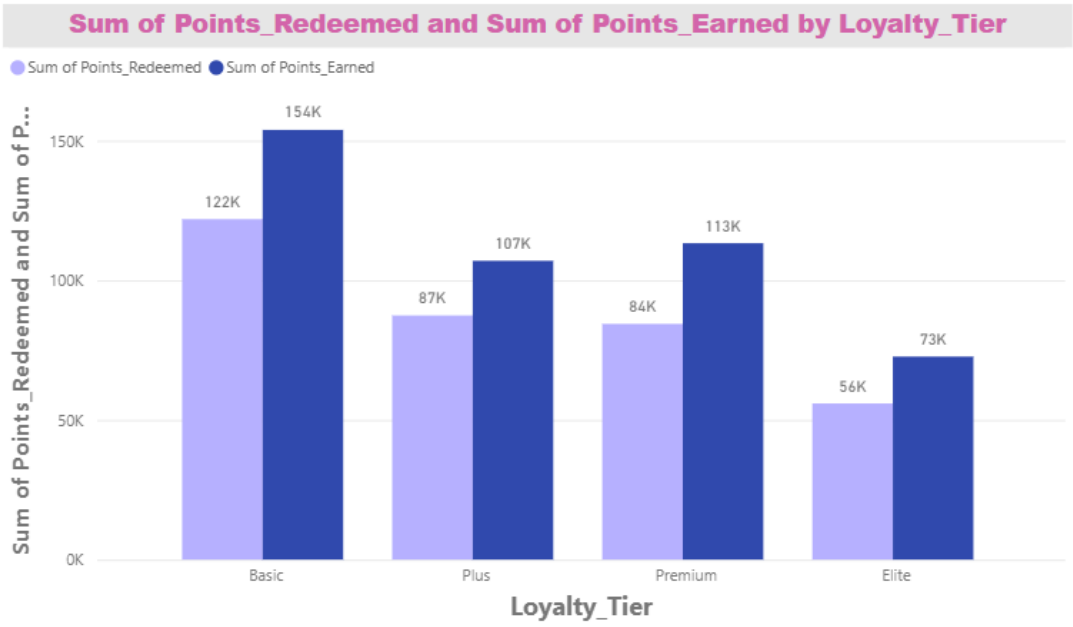


Key insights:

The Plus loyalty tier has the lowest churn rate (15.7%), indicating stronger customer retention and engagement compared to other tiers. In contrast, Elite and Premium tiers show higher churn rates, suggesting Target should improve exclusive benefits and personalized rewards for high-tier customers.

TASK 4.4: Visualize Points Earned vs. Redeemed by Tier

Task 4.4: Visualize Points Earned vs. Redeemed by Tier



Key insight:

Basic tier customers show the highest loyalty activity with more points earned and redeemed. Elite customers have lower redemption activity, so Target should improve rewards for higher-tier members**.**

TASK 4.5: Give recommendations to improve redemption & retention.

- Provide attractive rewards and bonus offers to encourage customers to redeem more loyalty points.
- Improve engagement for Premium and Elite customers with personalized benefits, exclusive discounts, and special membership perks to increase retention.

TASK 5: Store & Channel Performance vs Retention

Task 5.1: Merge store data with transactions

Step 1: go to transform data into power query editor

Step 2: click customer_transaction

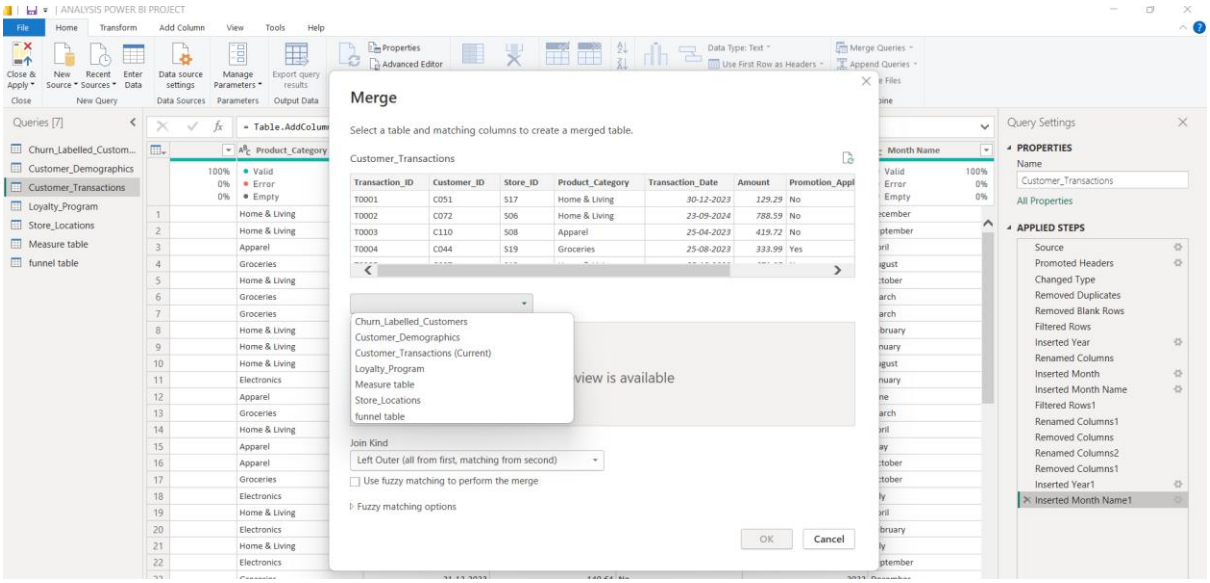
Step 3: go to home tab-> merge queries

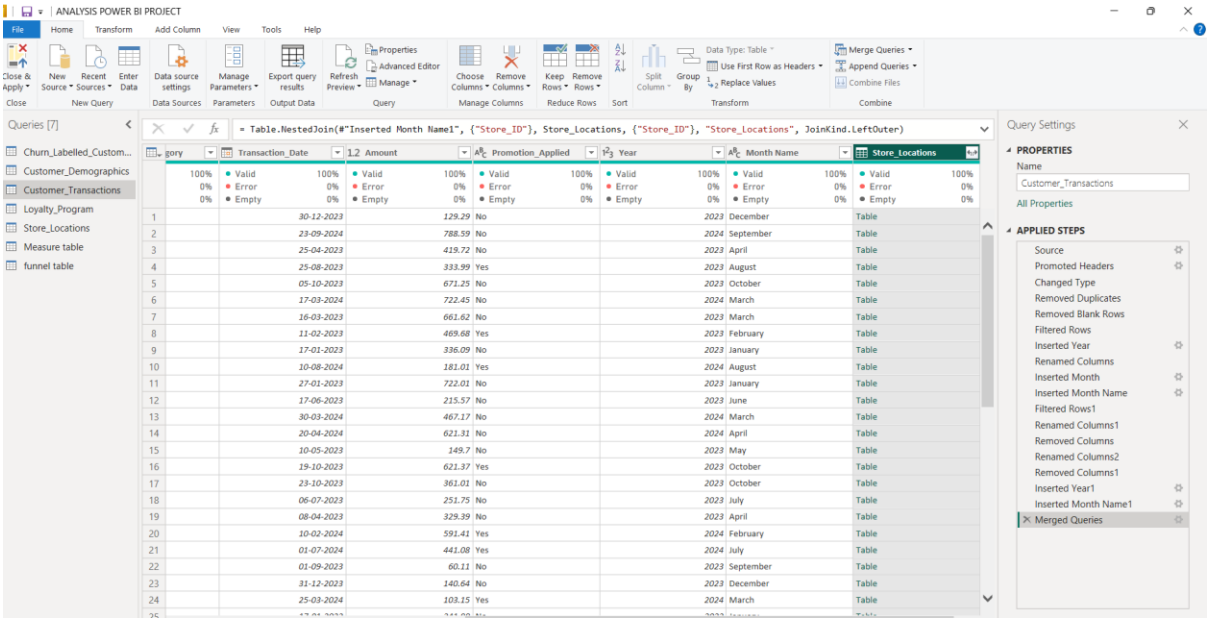
Step 4: select the second table store_location

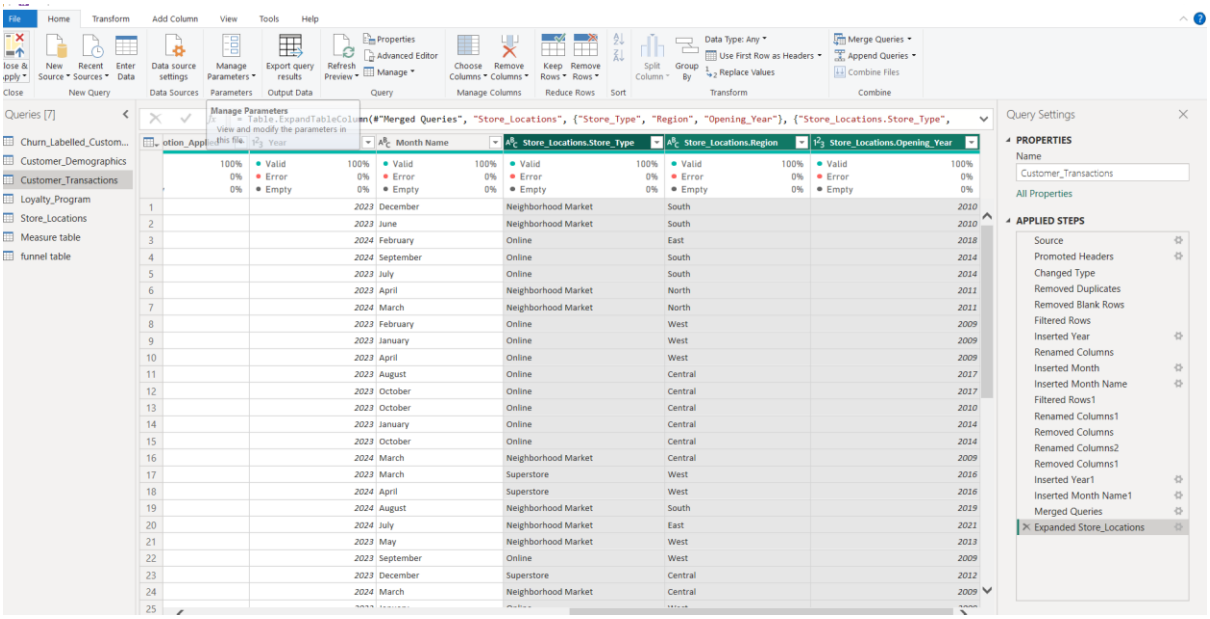
Step 5: match store_id in both table and check left outer join click ok

Step 4: display the store_location column and right coner expand icon to click .

Step 5:select store_type,opening year ,region and click ok after close&apply


ANALYSIS POWER BI PROJECT
Merge
Select a table and matching columns to create a merged table.
Customer_Transactions
Transaction_ID | Customer_ID | Store_ID | Product_Category | Transaction_Date | Amount | Promotion_Appl
T0001 | C051 | S17 | Home & Living | 30-12-2023 | 129.29 | No
T0002 | C072 | S06 | Home & Living | 23-09-2024 | 788.59 | No
T0003 | C110 | S08 | Apparel | 25-04-2023 | 419.72 | No
T0004 | C044 | S19 | Groceries | 25-08-2023 | 333.99 | Yes
Churn_Labelled_Customers
Customer_Demographics
Customer_Transactions (Current)
Loyalty_Program
Measure table
Store_Locations
funnel table
Join Kind
Left Outer (all from first, matching from second)
Use fuzzy matching to perform the merge
Fuzzy matching options
OK
Cancel
Queries [7]
Churn_Labelled_Custom...
Customer_Demographics
Customer_Transactions
Loyalty_Program
Store_Locations
Measure table
funnel table
Query Settings
PROPERTIES
Name
Customer_Transactions
All Properties
APPLIED STEPS
Source
Promoted Headers
Changed Type
Removed Duplicates
Removed Blank Rows
Filtered Rows
Inserted Year
Renamed Columns
Inserted Month
Inserted Month Name
Filtered Rows1
Renamed Columns1
Removed Columns
Renamed Columns2
Removed Columns1
Inserted Year1
Inserted Month Name1


ANALYSIS POWER BI PROJECT
= Table.NestedJoin(#"Inserted Month Name1", {"Store_ID"}, Store_Locations, {"Store_ID"}, "Store_Locations", JoinKind.LeftOuter)
Transaction_Date | Amount | Promotion_Applied | Year | Month Name | Store_Locations
30-12-2023 | 129.29 | No | 2023 | December | Table
23-09-2024 | 788.59 | No | 2024 | September | Table
25-04-2023 | 419.72 | No | 2023 | April | Table
25-08-2023 | 333.99 | Yes | 2023 | August | Table
05-10-2023 | 671.25 | No | 2023 | October | Table
17-03-2024 | 722.45 | No | 2024 | March | Table
16-03-2023 | 661.62 | No | 2023 | March | Table
11-02-2023 | 469.68 | Yes | 2023 | February | Table
17-01-2023 | 336.09 | No | 2023 | January | Table
10-08-2024 | 181.01 | Yes | 2024 | August | Table
27-01-2023 | 722.01 | No | 2023 | January | Table
17-06-2023 | 215.57 | No | 2023 | June | Table
30-03-2024 | 467.17 | No | 2024 | March | Table
20-04-2024 | 621.31 | No | 2024 | April | Table
10-05-2023 | 149.7 | No | 2023 | May | Table
19-10-2023 | 621.37 | Yes | 2023 | October | Table
23-10-2023 | 361.01 | No | 2023 | October | Table
06-07-2023 | 251.75 | No | 2023 | July | Table
08-04-2023 | 329.39 | No | 2023 | April | Table
10-02-2024 | 591.41 | Yes | 2024 | February | Table
01-07-2024 | 441.08 | Yes | 2024 | July | Table
01-09-2023 | 60.11 | No | 2023 | September | Table
31-12-2023 | 140.64 | No | 2023 | December | Table
25-03-2024 | 103.15 | Yes | 2024 | March | Table
Queries [7]
Churn_Labelled_Custom...
Customer_Demographics
Customer_Transactions
Loyalty_Program
Store_Locations
Measure table
funnel table
Query Settings
PROPERTIES
Name
Customer_Transactions
All Properties
APPLIED STEPS
Source
Promoted Headers
Changed Type
Removed Duplicates
Removed Blank Rows
Filtered Rows
Inserted Year
Renamed Columns
Inserted Month
Inserted Month Name
Filtered Rows1
Renamed Columns1
Removed Columns
Renamed Columns2
Removed Columns1
Inserted Year1
Inserted Month Name1
Merged Queries


Manage Parameters
View and modify the parameters in this file.
= Table.ExpandTableColumn(#"Merged Queries", "Store_Locations", {"Store_Type", "Region", "Opening_Year"}, {"Store_Locations.Store_Type",
Month Name | Store_Locations.Store_Type | Store_Locations.Region | Store_Locations.Opening_Year
2023 | December | Neighborhood Market | South | 2010
2023 | June | Neighborhood Market | South | 2010
2024 | February | Online | East | 2018
2024 | September | Online | South | 2014
2023 | July | Online | South | 2014
2023 | April | Neighborhood Market | North | 2011
2024 | March | Neighborhood Market | North | 2011
2023 | February | Online | West | 2009
2023 | January | Online | West | 2009
2023 | April | Online | West | 2009
2023 | August | Online | Central | 2017
2023 | October | Online | Central | 2017
2023 | October | Online | Central | 2010
2023 | January | Online | Central | 2014
2023 | October | Online | Central | 2014
2024 | March | Neighborhood Market | Central | 2009
2023 | March | Superstore | West | 2016
2024 | April | Superstore | West | 2016
2024 | August | Neighborhood Market | South | 2019
2024 | July | Neighborhood Market | East | 2021
2023 | May | Neighborhood Market | West | 2013
2023 | September | Online | West | 2009
2023 | December | Superstore | Central | 2012
2024 | March | Neighborhood Market | Central | 2009
Queries [7]
Churn_Labelled_Custom...
Customer_Demographics
Customer_Transactions
Loyalty_Program
Store_Locations
Measure table
funnel table
Query Settings
PROPERTIES
Name
Customer_Transactions
All Properties
APPLIED STEPS
Source
Promoted Headers
Changed Type
Removed Duplicates
Removed Blank Rows
Filtered Rows
Inserted Year
Renamed Columns
Inserted Month
Inserted Month Name
Filtered Rows1
Renamed Columns1
Removed Columns
Renamed Columns2
Removed Columns1
Inserted Year1
Inserted Month Name1
Merged Queries
Expanded Store_Locations

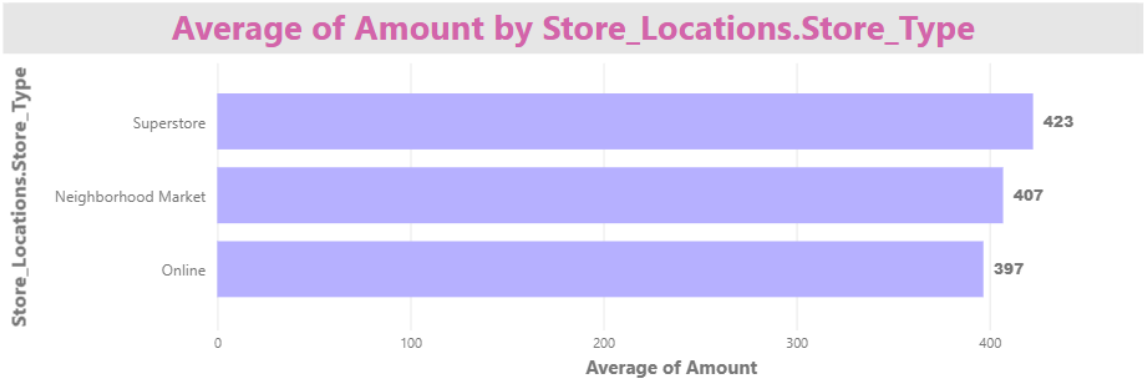
Task 5.2: Visualize

A) Avg. transaction amount by Store Type

Visual: Clustered bar Chart

Field: store_type->axis , average amount->values

Task 5.2 :Visualize Avg. transaction amount by Store Type



Key insight:

Superstores have the highest customer spending, while online stores show lower transaction amounts.

B) Churn rate by store type

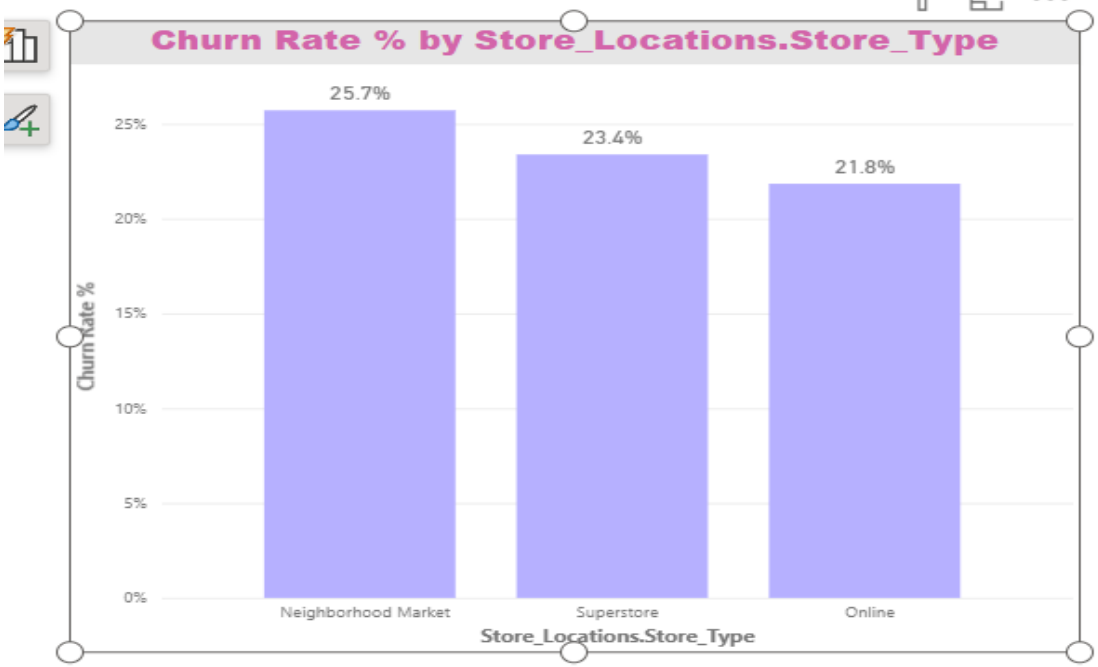
Visual: Clustered column Chart

Field: store_type->axis , churn rate%->values

Key insight:

Neighborhood Market has the highest churn rate compared to other store types. Online stores have the lowest churn rate, showing better customer retention.

Task 5.3 :Visualize Churn rate by store type



C) Correlation between store opening year & retention

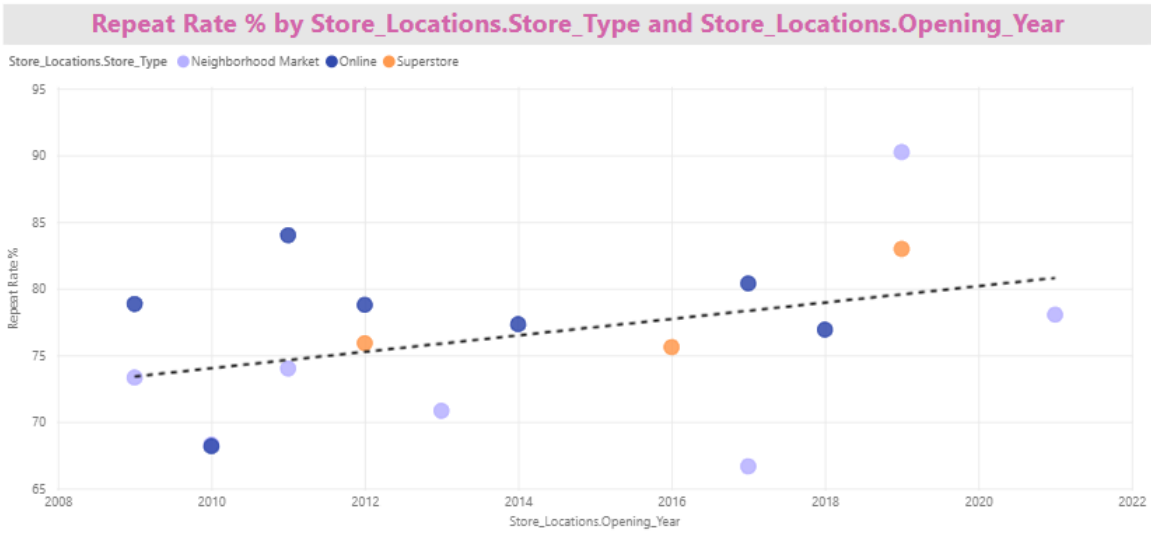
Visual: Scatter Chart

Field: opening_year->x-axis ,

retention rate%-> y axis,

store_type-> legend

Task 5.4 :Visualize Correlation between store opening year & retention



Key insight:

Stores opened in recent years show slightly higher repeat rates, indicating better customer retention. This suggests newer stores are performing more effectively in retaining customers

TASK6: Customer Lifetime Value (CLV) Analysis (10 Marks)

Task 6.1: CLV = Total Amount Spent / Membership Duration (Years)

Step 1: create total amount spend column

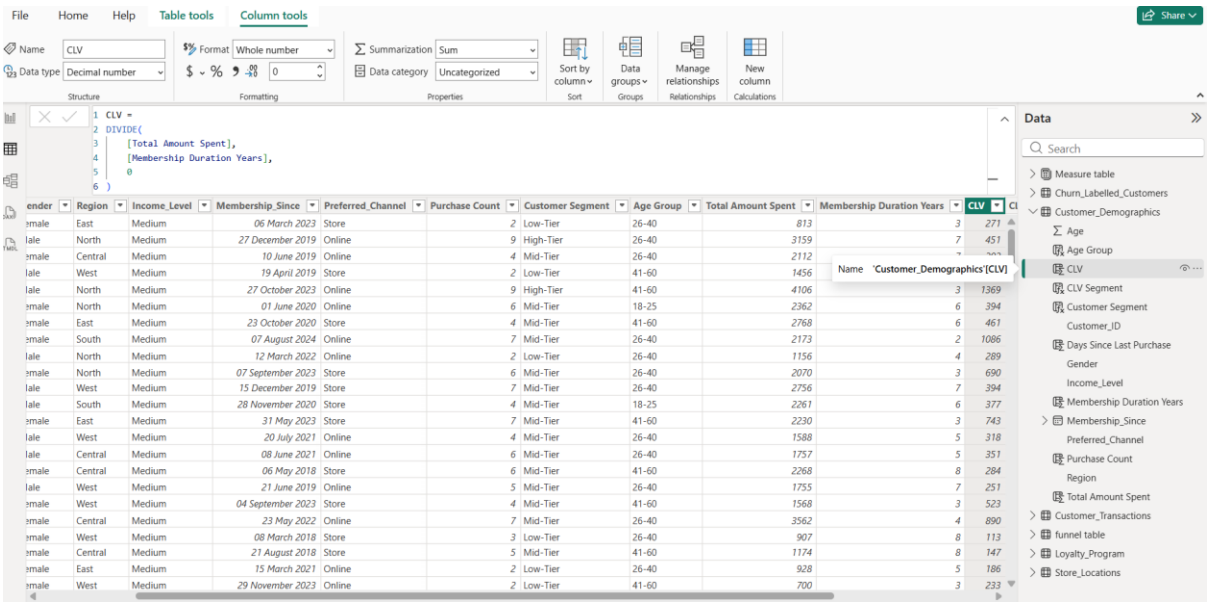
Formula:

Total Amount Spent = SUMX(RELATEDTABLE(Customer_Transactions), Customer_Transactions[Amount])

Step 2: Create CLV Column

Formula:

CLV = DIVIDE([Total Amount Spent], [Membership Duration Years], 0)



Task 6.2: Segment customers into Low, High CLV

- Above Average CLV as High
- Below Average CLV value- Low

Step 1:create average CLV measure

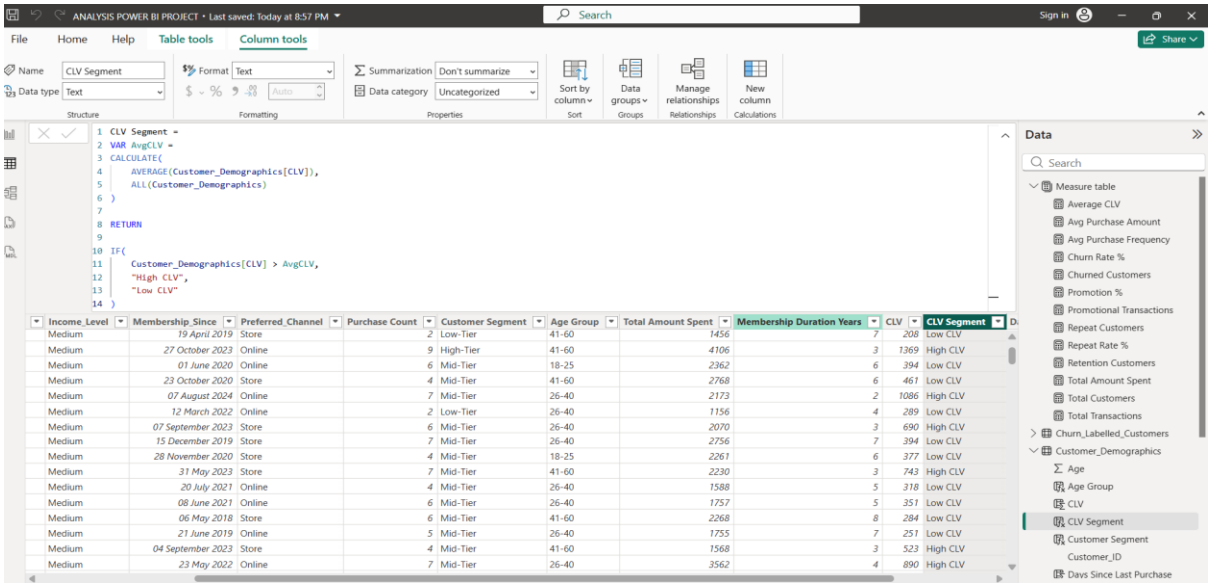
Formula: Average CLV = AVERAGE(Customer_Demographics[CLV])

Step 2:create CLV segment column

Formula: CLV Segment = VAR AvgCLV =CALCULATE(

AVERAGE(Customer_Demographics[CLV]),ALL(Customer_Demographics))

RETURN IF(Customer_Demographics[CLV] > AvgCLV, "High CLV", "Low CLV")



Customer_ID	Sum of CLV	CLV Segment
C189	208	Low CLV
C190	179	Low CLV
C194	242	Low CLV
C199	166	Low CLV
C001	1273	High CLV
C013	1369	High CLV
C016	511	High CLV
Total	**100794**	

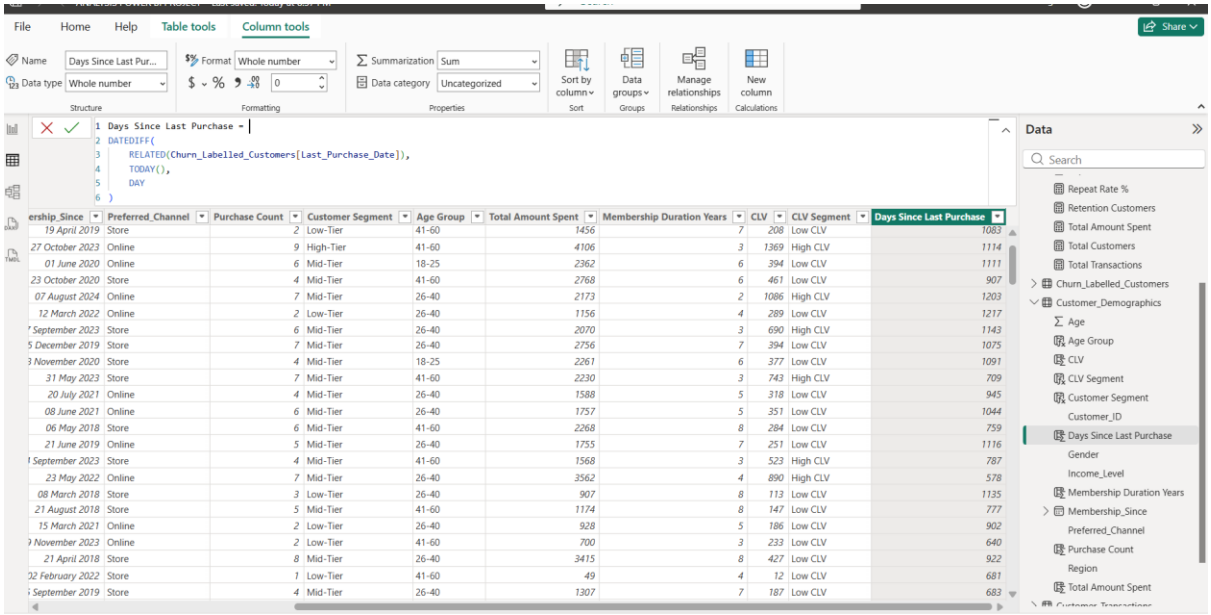
Task 6.3: Visualize:

A) CLV vs Days Since Last Purchase

Create Days Since Last Purchase column

Formula:

Days Since Last Purchase = DATEDIFF(RELATED (Churn_Labelled_Customers[Last_Purchase_Date]), TODAY(), DAY)

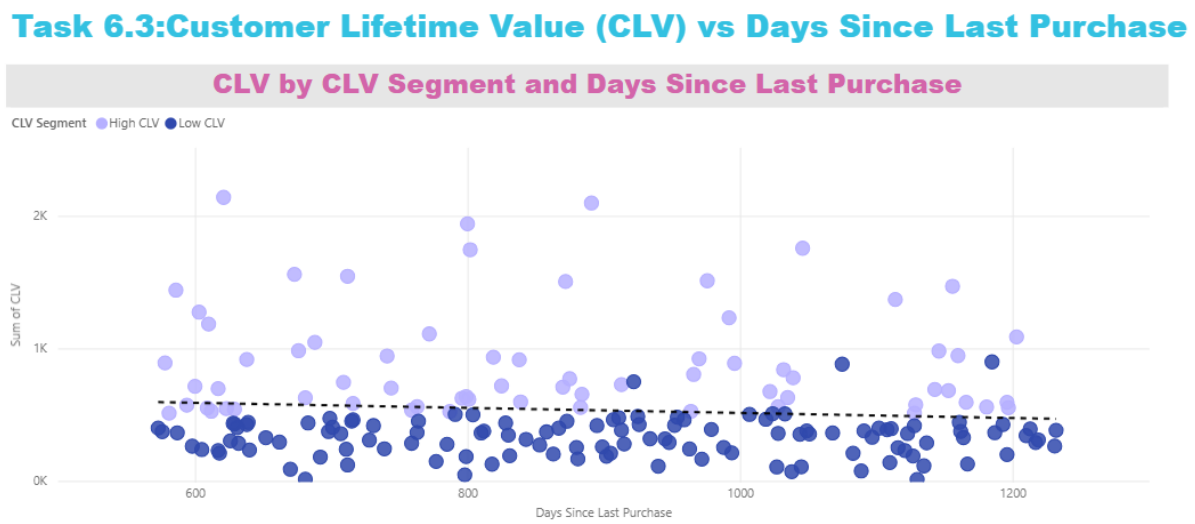


ership_Since	Preferred_Channel	Purchase Count	Customer Segment	Age Group	Total Amount Spent	Membership Duration Years	CLV	CLV Segment	Days Since Last Purchase
19 April 2019	Store	2	Low-Tier	41-60	1456	7	208	Low CLV	1083
27 October 2023	Online	9	High-Tier	41-60	4106	3	1369	High CLV	1114
01 June 2020	Online	6	Mid-Tier	18-25	2362	6	394	Low CLV	1111
23 October 2020	Store	4	Mid-Tier	41-60	2768	6	461	Low CLV	907
07 August 2024	Online	7	Mid-Tier	26-40	2173	2	1086	High CLV	1203
12 March 2022	Online	2	Low-Tier	26-40	1156	4	289	Low CLV	1217
September 2023	Store	6	Mid-Tier	26-40	2070	3	690	High CLV	1143
5 December 2019	Store	7	Mid-Tier	26-40	2756	7	394	Low CLV	1075
3 November 2020	Store	4	Mid-Tier	18-25	2261	6	377	Low CLV	1091
31 May 2023	Store	7	Mid-Tier	41-60	2230	3	743	High CLV	709
20 July 2021	Online	4	Mid-Tier	26-40	1588	5	318	Low CLV	945
08 June 2021	Online	6	Mid-Tier	26-40	1757	5	351	Low CLV	1044
06 May 2018	Store	6	Mid-Tier	41-60	2268	8	284	Low CLV	759
21 June 2019	Online	5	Mid-Tier	26-40	1755	7	251	Low CLV	1116
September 2023	Store	4	Mid-Tier	41-60	1568	3	523	High CLV	787
23 May 2022	Online	7	Mid-Tier	26-40	3562	4	890	High CLV	578
08 March 2018	Store	3	Low-Tier	26-40	907	8	113	Low CLV	1135
21 August 2018	Store	5	Mid-Tier	41-60	1174	8	147	Low CLV	777
15 March 2021	Online	2	Low-Tier	26-40	928	5	186	Low CLV	902
November 2023	Online	2	Low-Tier	41-60	700	3	233	Low CLV	640
21 April 2018	Store	8	Mid-Tier	26-40	3415	8	427	Low CLV	922
02 February 2022	Store	1	Low-Tier	41-60	49	4	12	Low CLV	681
September 2019	Store	4	Mid-Tier	26-40	1307	7	187	Low CLV	683

Visual: Scatter Chart

Field: Days since last purchase ->x axis, sum of CLV->y axis,

CLV segment->legend

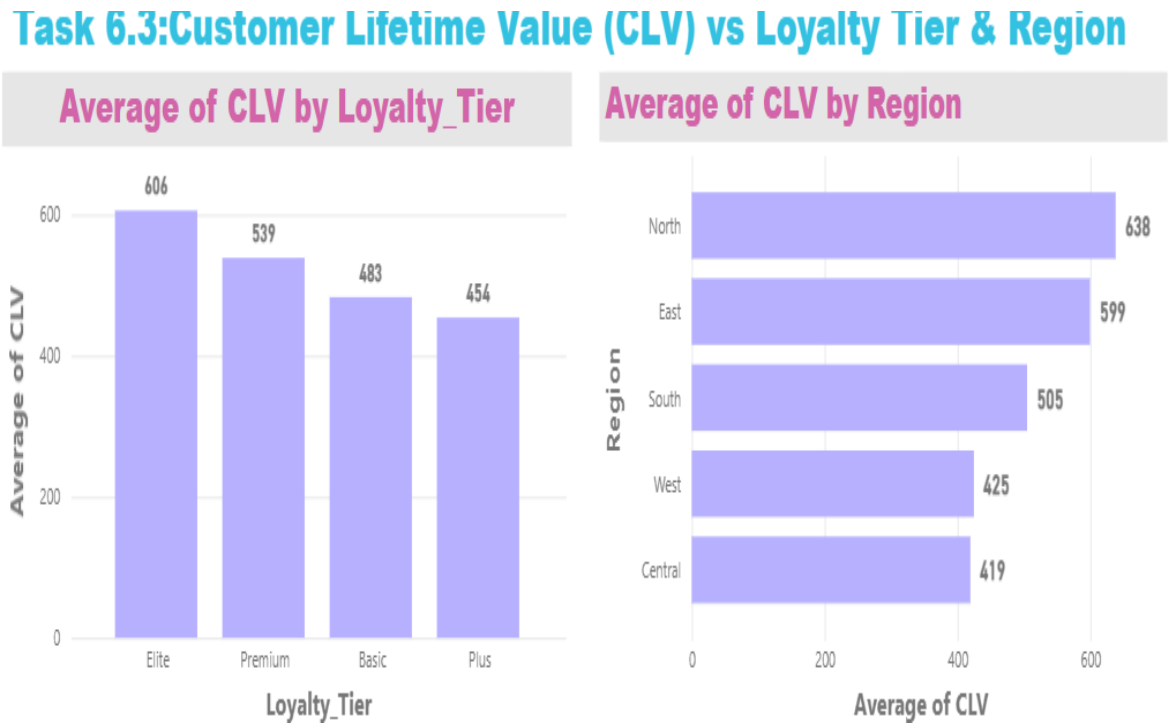


Key insight:

Customers with high CLV show better long-term value even with longer purchase gaps. Customers with low CLV contribute less value

B) CLV by Loyalty Tier & Region

- Visualize CLV by Loyalty Tier
  Visual: Clustered column Chart
  Field: loyalty tier->axis , CLV->values
- Visualize CLV by region
  Visual: Clustered bar Chart
  Field: region->axis , CLV->values

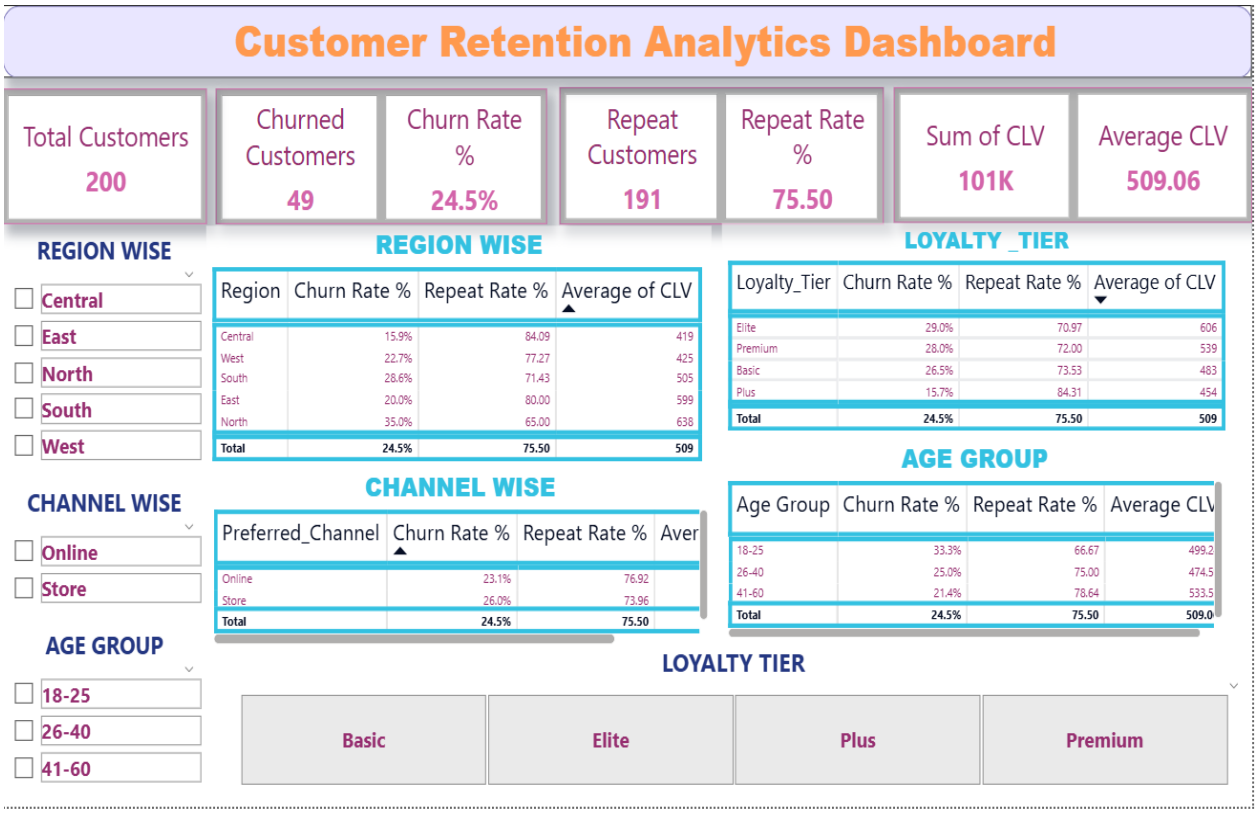


Key insight:

Elite loyalty customers generate the highest CLV, showing they are the most valuable customers for Target. The North region has the highest average CLV, while Central and West regions show lower customer value.

TASK 7: Final Dashboard & Executive Summary

DASHBOARD:1: KPIs (Churn, CLV, Repeat Rate)



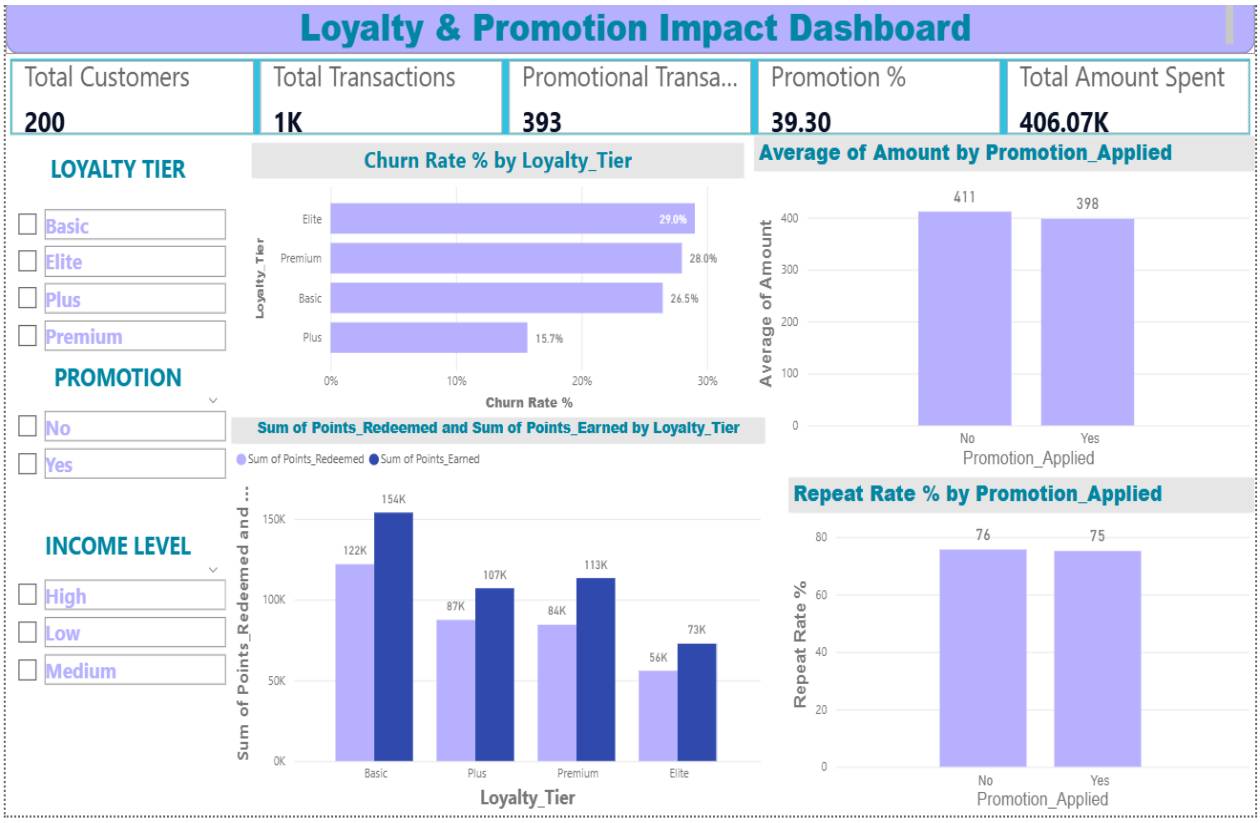
Key insight:

The dashboard shows a churn rate of 24.5%, with 49 customers churned out of 200 total customers, indicating that customer retention is a key challenge for Target. North region and Elite customers have high CLV but also higher churn rates, suggesting Target should focus on personalized engagement and loyalty benefits to retain valuable customers.

Slicers are added in dashboard

- Region
- Channel
- Age Group
- Loyalty Tier

DASHBOARD 2: Loyalty & Promotion Impact



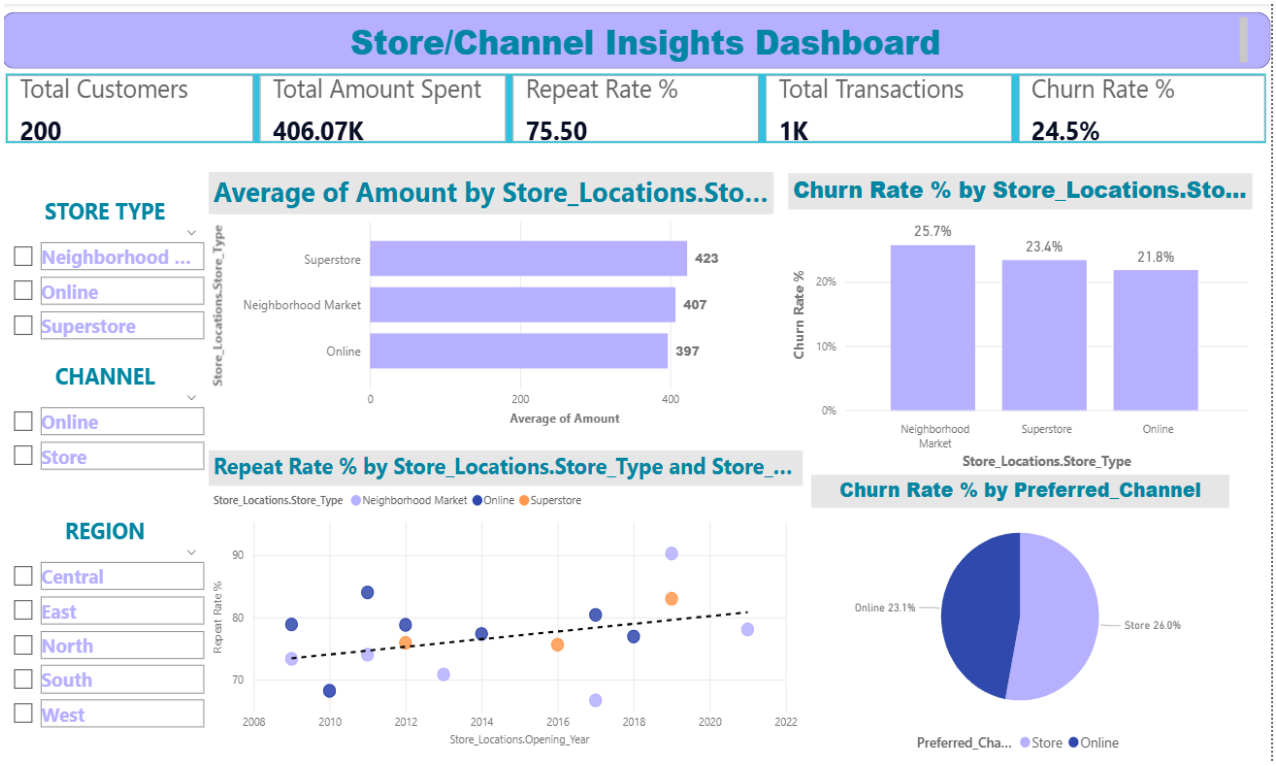
Key insight:

The dashboard shows that the Plus loyalty tier has the lowest churn rate (15.7%), indicating better customer retention compared to other tiers. Promotions have minimal impact on purchase amount and repeat rate, suggesting Target should focus more on personalized rewards and loyalty engagement strategies.

Slicers are added in dashboard

- Loyalty Tier
- Promotion
- Income level

DASHBOARD 3: Store/Channel Insights



Key insight:

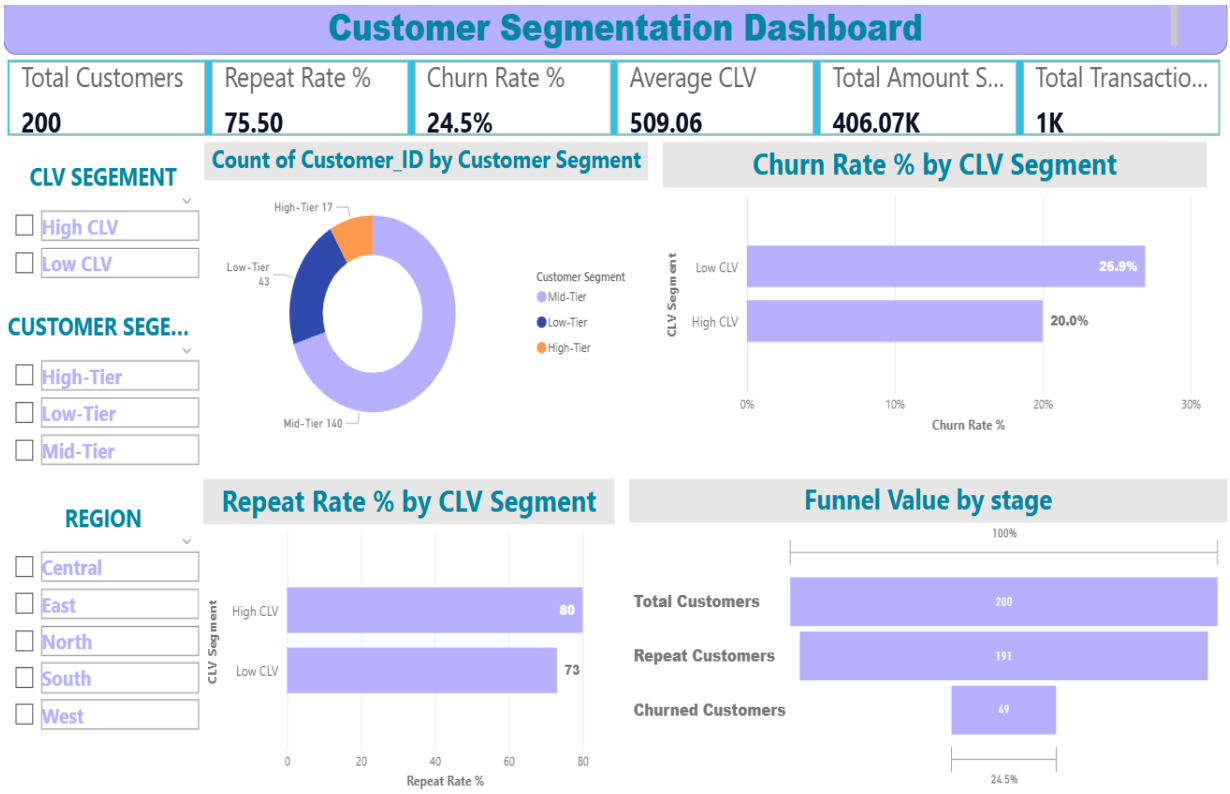
Superstores generate the highest average transaction amount, showing stronger sales performance than other store types. Neighborhood Markets have the highest churn rate, indicating a need to improve customer engagement and retention strategies.

Online channels show lower churn rates and stable repeat purchases, suggesting better customer convenience and satisfaction. Newer stores also show slightly higher repeat rates, indicating improved retention performance over time.

Slicers are added in dashboard

- Store type
- Region
- Channel

DASHBOARD 4: Segmentation (Churned, Repeat, High-Value)



Key insight:

The dashboard shows that High CLV customers have a lower churn rate (20%) and higher repeat rate (80%), indicating they are more loyal and valuable to Target. Low CLV customers show higher churn, so Target should focus on personalized offers and engagement strategies to improve retention.

Most customers belong to the Mid-Tier segment, showing average purchase behavior and engagement. The funnel chart also shows that although repeat customers are high, Target still needs to reduce churn to improve long-term retention**.**

Slicers are added in dashboard

- CLV Segment
- Region
- Customer segment

Executive Summary:

Provide Top 3 Recommendations for Target:

1) **Which customers to prioritize for retention?**

   Target should prioritize High CLV and repeat customers because they generate higher value and show stronger loyalty. Customers in Elite and Premium tiers with high churn risk should also receive personalized rewards and special offers to improve retention.

2) **Which channels are underperforming?**

   The online channel is underperforming in average transaction amount compared to Superstores and Neighborhood Markets. Neighborhood Market stores also show higher churn rates, indicating weaker customer retention performance.

3) **How to strengthen loyalty engagement?**

   Target can strengthen loyalty engagement by offering personalized rewards, bonus points, and exclusive discounts based on customer preferences. Improving benefits for Premium and Elite members can also increase customer satisfaction and retention.